

SHARE SUBSCRIPTION AGREEMENT

DATED (MONTH) (DATE), (YEAR)

BY AND BETWEEN

PARTY A NAME

AND

PARTY B NAME



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SHARE SUBSCRIPTION AGREEMENT

This share subscription agreement (hereinafter referred as **Agreement**) is made at (place) as of _____ (**Execution Date**):

BY AND BETWEEN

[**Company Entity / (Party A Name)**], a company incorporated under the Companies Act, 2013, having its registered office at [Address] (hereinafter referred to as the "Company", which expression shall include its successors and permitted assigns);

AND

[**Entity Name / Individual Name**], residing at/having the registered address (hereinafter referred to as "Party B" or Investor);

(Each individually a "**Party**" and collectively the "**Parties**").

RECITALS

- A. The Company/Party A is engaged in the business of [insert business description].
- B. Party B/Investor has agreed to subscribe to ____ shares of the Company at a price of INR ____ per share for a total consideration of INR ____.
- C. The Parties are desirous of recording the terms and conditions of their mutual understanding with respect to the subscription.

THE PARTIES, INTENDING TO BE LEGALLY BOUND, AGREE AS FOLLOWS:

1. DEFINITIONS AND INTERPRETATION

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1.1. Capitalized terms used and not otherwise defined in this Agreement or its schedules have the meanings set forth below.

(a) **Act** shall mean the Companies Act, 2013, as may be amended, modified, supplemented or re-enacted thereof from time to time.

(b) **Accounts** shall mean the audited consolidated accounts of the Company for the 12 (twelve-month period ended on the Accounts Date, including the directors' and auditors' reports, relevant balance sheets and profit and loss accounts and related notes corresponding to such accounts.

(c) **Accounts Date** shall mean each Financial Year ending on 31st March.

(d) **Affiliate** shall mean (a) any Person that, directly or indirectly, through one or more intermediaries, Controls, is Controlled by, or is under common Control with a Party and shall include a subsidiary or a holding company of such Person, and (b) in case of a Party being a natural person, shall additionally mean such Party's spouse, parents, children and their spouses, siblings and their spouses.

(f) **Agreed Form** shall mean a form of any document or agreement that is mutually agreed, or will be mutually agreed, between the Company and the Investors.

(g) **Agreement** shall mean this Agreement and the schedules to this Agreement.

(h) **Amended Articles** shall mean the Articles of Association of the Company, revised in accordance with the terms of the Shareholders' Agreement and this Agreement, as acceptable to the Investors.

(i) **Applicable Law** shall include all applicable statutes, enactments, acts of legislature or parliament, laws, ordinances, rules, byelaws, main regulations, treaties, notifications, agreements, guidelines, policies, directions, directives and orders of any government, statutory authority, tribunal, board, court or recognised stock exchange.

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(j) **Articles of Association or Articles** shall mean the articles of association of the Company.

(k) **Board** shall mean the board of Directors (as defined hereinafter) of the Company.

(l) **Business Day** shall mean a day on which banks are open for business in Mumbai for carrying out high-value clearing of cheques and for effecting the transfer of payments through any payment system regulated by the Reserve Bank of India.

(m) **Closing Date** shall mean the date on which the Closing will occur, being a date mutually agreed between the Company and the Investors, provided that such date shall not be later than the Long Stop Date.

(r) **Encumbrance** shall mean any right, title and/or interest or equity of any nature whatsoever (including any right to acquire, option or right of pre-emption) or any mortgage, pledge, deed of trust, hypothecation, right of others (including right of set-off or counterclaim), security interest, burden, title defect, title retention agreement, lease, sublease, license, voting trust agreement, interest, right of first offer or refusal, proxy, lien, charge, covenant, purchase agreement, actionable claim or any security agreement, security arrangement, other restriction/s, limitations or encumbrance of any nature whatsoever.

(s) **Equity Shares** shall mean equity shares of the Company having face value of INR ____ (Rupees ____ only) each.

(t) **Fair Market Value** shall mean the fair market value of the shares of the Company or the net enterprise value of the Company determined in accordance with applicable law, at the expense of the Company and/or its promoters, by a reputed valuer of good standing appointed by the Investors.

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(v) **Financial Statements** shall mean the audited or unaudited balance sheet of the Company, as the context so requires, as on 31st March of each year, the profit and loss statement and the cash flow statement of the Company for the year ending on 31st March along with schedules to the accounts, the Director' report, auditor's report and the notes to the accounts.

(w) **Financial Year** shall mean the financial year of the Company commenced on 1st April of every year and ending on 31st March of the following year, or such other financial year of the Company as the Company may from time to time legally designate as its financial year.

2. SUBSCRIPTION

Party B agrees to subscribe to ____ shares of Party A/Company at INR ____ per share, and Party A agrees to issue and allot such shares for a total consideration of INR ____.

3. CONDITIONS PRECEDENT

The obligation of the Investor to subscribe to, and of the Company to allot, the Subscription Shares under this Agreement shall be subject to the satisfaction (or waiver by the Investor) of the following Conditions Precedent on or before the Completion Date:

- a) The Company and its shareholders shall have obtained all requisite corporate approvals, including Board and shareholder resolutions, for the execution of this Agreement and the issuance and allotment of the Subscription Shares.
- b) All applicable statutory, regulatory, governmental, and third-party approvals, consents, filings, and registrations required for the transactions contemplated herein shall have been duly obtained or completed.

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- c) The Investor shall have completed its legal, financial, tax, and commercial due diligence of the Company to its satisfaction.
- d) The representations and warranties of the Company and the Promoters contained in this Agreement shall be true, accurate, and complete in all material respects as of the Completion Date.
- e) No Material Adverse Effect shall have occurred in relation to the business, operations, assets, financial condition, or prospects of the Company between the date of this Agreement and the Completion Date.
- f) No litigation, investigation, or proceeding shall be pending or threatened that would materially affect the Company or the transactions contemplated under this Agreement.
- g) All ancillary transaction documents, including the Shareholders' Agreement and such other documents as may be required by the Investor, shall have been duly executed and delivered by the relevant Parties.
- h) The Company shall have furnished all documents, certificates, and information reasonably required by the Investor, including KYC and compliance-related documentation.

Waiver and Non-Fulfilment: Any Condition Precedent may be waived by the Investor in writing. If the Conditions Precedent are not satisfied or waived on or before the Long Stop Date, the Investor may, at its sole discretion, extend the time for satisfaction of the Conditions Precedent, waive the same, or terminate this Agreement without any liability, save for obligations expressly stated to survive termination.

4. USE OF SUBSCRIPTION AMOUNT (OPTIONAL)

The Company agrees that the Subscription Amount received pursuant to this Agreement shall be utilized solely for the purposes of:

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- (a) Funding the business operations of the Company, including working capital requirements;
- (b) Expansion and development of the Company's products/services;
- (c) Meeting regulatory and compliance obligations; and
- (d) Any other purposes as may be approved by the Board of Directors and communicated to the Investors.

5. REPRESENTATIONS AND WARRANTIES

5.1. Each Party represents, severally and not jointly, to the other Parties hereto that:

(a) such Party has the full power and authority to enter, execute and deliver this Agreement and to perform the transactions contemplated hereby and that, where applicable, such Party is duly incorporated or organised and existing under the laws of the jurisdiction of its incorporation or organisation and that the execution and delivery by such Party of this Agreement and the performance by such Party of the transactions contemplated hereby have been duly authorised by all necessary corporate or other action of such Party; and

(b) assuming the due authorisation, execution and delivery hereof by the other Parties, this Agreement constitutes the legal, valid and binding obligation of such Party, enforceable against such Party in accordance with its terms, except as such enforceability may be limited by applicable bankruptcy, insolvency reorganisation, moratorium or similar laws affecting creditors' rights generally.

6. INDEMNITY

The Company and the Promoters shall indemnify and hold harmless the Investor(s) from and against any losses, claims, damages, liabilities, costs or expenses, including reasonable legal fees, arising out of any breach of the representations, warranties or obligations under this Agreement, or any violation

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of applicable law, or any misstatement or omission of material facts provided to the Investor(s).

Similarly, the Investor(s) shall indemnify and hold harmless the Company and the Promoters from and against any losses, claims, damages, liabilities, costs or expenses arising out of any breach of their representations, warranties or obligations under this Agreement or any violation of applicable law.

The indemnified Party shall promptly notify the indemnifying Party of any claim, and the indemnifying Party shall have the right to defend such claim, provided that the indemnified Party may participate in such defence at its own cost.

7. TERMINATION

This Agreement shall remain in force until the Closing Date. However, this Agreement may be terminated:

- a) by mutual written consent of the Parties;
- b) by the Investor(s), if the Conditions Precedent are not fulfilled to their satisfaction within the agreed timeline;
- c) by either Party, if there is a material breach of the obligations under this Agreement which is not remedied within ____ days of notice; or
- d) automatically, if the transaction contemplated herein is not completed by the Long Stop Date.
- e) Termination of this Agreement shall be without prejudice to any rights, remedies or claims accrued to the Parties prior to such termination.

8. CONFIDENTIALITY

The Parties acknowledge that, in connection with this Agreement, they may receive confidential and proprietary information of each other. Each Party agrees

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to keep such information confidential and not to disclose it to any third party, except as required by law or with the prior written consent of the disclosing Party. The Parties further agree to use such information only for the purposes contemplated under this Agreement.

This obligation shall survive the termination or completion of this Agreement.

9. GOVERNING LAW, JURISDICTION AND DISPUTE RESOLUTION

9.1. Governing Law and Jurisdiction

This Agreement is governed by and in accordance with the laws of India. The Parties agree that the courts at [Place] shall have exclusive jurisdiction over any disputes arising out of or in connection with this Agreement.

9.2. Dispute Resolution

If any dispute arises between the Parties in connection with this Agreement, the Parties shall first attempt to resolve the matter amicably. If such efforts fail within [•] days, the dispute shall be referred to arbitration in accordance with the Arbitration and Conciliation Act, 1996. The arbitration shall be conducted in [City], India, in the English language, by a sole arbitrator mutually appointed by the Parties. The arbitral award shall be final and binding on the Parties.

10. MISCELLANEOUS

10.1 Entire Agreement

This Agreement constitutes the entire understanding between the Parties with respect to the subject matter hereof and supersedes all prior discussions, negotiations, or agreements.

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10.2 Amendments

No modification or amendment of this Agreement shall be valid unless made in writing and signed by all Parties.

10.3 Notices

Any notice required to be given under this Agreement shall be in writing and delivered by hand, courier, or email to the addresses specified by the Parties.

10.4 Assignment

If any provision of this Agreement is held invalid or unenforceable, the remaining provisions shall continue in full force and effect.

10.5 Waiver

Failure or delay by any Party in exercising any right under this Agreement shall not constitute a waiver of that right.

10.6 Schedules

The Schedules annexed to and forming part of this Agreement are hereby incorporated into this Agreement by reference and shall be deemed to form an integral part of this Agreement. Any reference to this Agreement shall, unless the context otherwise requires, include the Schedules. In the event of any inconsistency between the provisions of this Agreement and any Schedule, the provisions of this Agreement shall prevail to the extent of such inconsistency.

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**IN WITNESS WHEREOF, THE PARTIES HAVE ENTERED INTO AND
EXECUTED THIS AGREEMENT AS OF THE DAY AND YEAR FIRST ABOVE
WRITTEN.**

For the within named Company Entity / Party A Name

By the hand of its authorised signatory

Name:

Designation:

By the within named Party B

Name:

Designation:

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SCHEDULE 1 - PARTICULARS OF PARTIES

Name	Address and E-Mail ID	No. of Shares (Equity or Preference)	Designation

SCHEDULE 2 - CAPITAL STRUCTURE

Part A

Fully Diluted Shareholding Pattern as on Execution date

Name	Equity Shares Preference / CCPS	Shareholding %

Part B

Fully Diluted Shareholding Pattern as on Closing

Name of Shareholder	Equity Shares Preference / CCPS	Total Shares	% of Shareholding (Fully Diluted)
Total			

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SCHEDULE 3 – CONDITIONS PRECEDENT TO CLOSING

The Company and the Promoters shall provide certified copies of Board and Shareholder resolutions approving this Agreement and the Shareholders' Agreement. A complete legal and financial due diligence of the Company shall be completed to the satisfaction of the Investors. The representations and warranties set out in Schedule 4 shall be true and correct as of the date of this Agreement and as of the Closing Date. No material adverse effect shall have occurred between signing and Closing. All required regulatory approvals, consents, and amendments to charter documents shall be obtained. The Company shall deliver valuation reports, amended Articles, and any other documents necessary to authorize the issue and subscription of Investor Shares.

SCHEDULE 4 – REPRESENTATIONS AND WARRANTIES

The Company represents and warrants that it is duly incorporated, validly existing, and in compliance with applicable laws. The Promoters represent and warrant that they hold valid title to their shares, free of encumbrances, and have authority to enter into this Agreement. The Company further warrants that its accounts are true and fair, it owns or has rights to its intellectual property, and it has disclosed all material contracts and liabilities. The Investors represent and warrant that they have authority to invest and are in compliance with applicable laws.

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SCHEDULE 5 - MATERIAL AGREEMENTS (OPTIONAL)

The Company shall disclose and annex copies of all material agreements relevant to its business, including manufacturing agreements, consultancy agreements, employment agreements with key managerial personnel, lease or rent agreements, loan or facility agreements, and any other contracts that are material to the operations of the Company.



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